



THE GRANAROLO GROUP'S CONTRIBUTION TO THE SDGs

Summary of the Sustainability
Report 2023



LETTER TO STAKEHOLDERS

2023 was a slightly better year than 2022, despite many worrying situations.

In fact, we have been overwhelmed by an unprecedented economic environment that has seen **several crisis factors** overlap: the exit from the global pandemic; the conflict in Ukraine; the war in Gaza; the explosion of energy and logistics costs in 2022-2023; the disruption of some supply chains; soaring inflation, which has only partially calmed; and the cost of money, which is very high today and a cause for concern for companies; and, last but not least, the consequent drop in consumption, at least in Italy, which has led the most structured companies to seek capital, essential for building growth and digitalisation plans to grow their competitiveness.

Furthermore, as far as the agricultural sector **is concerned, climate change has taken its toll** with an unprecedented drought that has penalised agricultural production throughout Europe and has led to terrible floods in our country. We are realising, with each passing year, that a timely intervention to manage the field or the farm and to partly protect companies from risk factors such as climate change or the unavailability of raw materials, is a hugely urgent priority.

We have set ourselves two precise goals: preserve our supply chain and maintain our position in the market. **The medium and long-term objective we are working on is a sustainable and resilient agri-food system with respect to future crises**, whether related to climate crisis, wars or epidemics.

In this context, the production, technological, management and social innovations necessary to promote **new production and consumption models that are increasingly sustainable**, on the environmental and social front, in the field, on the farm, in transformation and in distribution, play a fundamental role.

In order to be up to the task at hand, we signed an investment agreement at the end of **March 2023, which counts on a capital increase of €160 million**, with the simultaneous entry into the shareholdership of Granarolo S.p.A. of Patrimonio Rilancio - National Strategic Fund (NSF), managed by Cassa Depositi e Prestiti (CDP) and ENPAIA, the National Mutual Fund for Agricultural Workers and Employees. Granlatte retains its leadership of the Group with a solid majority and will also contribute to the capital increase. The Group is enriched by the presence of new partners who believe in us and will allow us to achieve the objectives of the **new 2024-2027 Plan**. It is divided into 17 projects for a **total investment of €300 million. The main ones are: energy independence, industry 5.0, widespread efficiency in all the Group's plants and logistics, a three thousand square metre Innovation Centre, new functional products, increased shelf-life thanks to process innovations.**

For Granarolo, the next few years will be full of investments and innovations.

Chairman
Gianpiero Calzolari

The medium and long-term goal is to build a sustainable and resilient agri-food system.

three projects for a more sustainable future



Animal welfare in the farm and reduction of environmental impact

We intend to **raise animal welfare certification standards** on farms, also reducing the environmental impact generated



Reducing plastics

We want to reduce plastics and increase the use of **recycled plastics**



Anti-waste plan.

We aim to **reduce food waste** by promoting a circular economy



2030 PLAN OBJECTIVE

Reduce emissions greenhouse gases by 2030 by 30% per kg of milk produced by the supply chain



Goal 12:
Ensure sustainable consumption and production patterns



Goal 13:
Promoting actions at all levels to combat climate change



Goal 17:
Strengthen the means of implementation and renew the global partnership for sustainable development

Project 1

Increased animal welfare and reduced environmental impact of the farm

Animal welfare on the farm is the daily commitment of the dairy farmers in the Italian Granarolo-Granlatte supply chain. **We guarantee the health and respect of animals** and have decided to raise the standards of animal welfare certification. From this commitment, **two main sub-objectives arise**:

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To further improve animal welfare in the already certified Granarolo-Granlatte dairy farms, reducing the environmental impact of the farm
- 

To manage the use of veterinary medicines with a view to reducing them and improving therapeutic effectiveness

OUR COMMITMENT

2023 ACTIONS

- The **Technical-Scientific Committee** comprising three universities, the University of Brescia, the University of Milan and the University of Bologna was able to measure and obtain a representative snapshot of the actual **environmental impact of the supply chain** measured at 50 livestock farms.
- Granlatte took part in the **Dairy Sustainability Framework** activities – an international dialogue platform for dairy companies working together to find sustainable solutions.
- The **Granarolo Sustainable Transition** has been carried, developed on four main pillars:
 - > animal welfare and rational use of cattle medicines;
 - > animal nutrition – because working on nutrition can lead to a reduced environmental impact;
 - > reduction of the environmental impact of milk production;
 - > optimisation of agronomic practices for CO₂ capture.

The voluntary certification of animal welfare at farms, called Bonlatte, was accompanied by the Classyfarm ministerial certification. The beginning of 2023 will also see the start of the **"Biomethane supply chain" project developed and presented with the Confederation of Beet Growers– CGBI** , and shall envisage the construction of **10 consortium plants in 3 years** located in Emilia Romagna, Lombardy, Friuli and Puglia. They will produce **30 million cubic metres of methane per year** – the equivalent of the thermal energy requirements for the Granarolo plants in Italy, and 500,000 tonnes of natural fertilizer (digestate) per year, thus **preventing the emission of 60,000 tonnes of CO₂ eq.** (the annual amount generated for street lighting in a city of 867,060 inhabitants like ² Turin).

At the end of 2023, there are 5 formalised plants.

INSTITUTIONS INVOLVED

-  FARMERS
-  VETERINARIANS

POSITIVE IMPACTS

Close cooperation with farmers and veterinarians on the one hand and with the Technical-Scientific Committee on the other **improves animal welfare conditions and reduces the environmental impact of the farm**, resulting in **an improvement in udder health** (fewer somatic cells) and psycho-physical conditions of the animal, an excellent level of milk quality and **a product that respects nature and the health of all consumers.**

SDGs WHICH WE DRAW INSPIRATION FROM

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Eradicating hunger, achieving food safety, improving nutrition and promoting sustainable agriculture. Granarolo works to increase levels of sustainable agriculture and the introduction on the market of premium quality essential products, protecting both small and large livestock farms in Italy, Tanzania and Mozambique.
- 

Ensure sustainable consumption and production patterns. Granarolo works hard to support the growth of producers, ensure the welfare of farm animals and preserve natural resources.
- 

Promoting actions at all levels to combat climate change. Granarolo, in the light of the new initiatives implemented on the front of the "Sustainable Transition" project, is committed to contributing to the Sustainable Development Goal on combating climate change.

Project 2

Reducing plastics

We care about nature and the future of our planet and work daily to introduce new production and consumption patterns that are sustainable in the medium and long term. We intend to **reduce plastics by limiting greenhouse gas emissions** linked to the entire product life cycle.

-  Reduce plastics and introduce alternative materials
-  Reduce emissions: -2,500 tonnes of CO₂ eq. for the period 2022-2026

OUR COMMITMENT

2021-2030 ACTIONS

- Reduction in the weight of primary and secondary packaging
- Use of recyclable and recycled plastic
- Trial of alternative materials to plastic

INSTITUTIONS INVOLVED

-  CONSUMERS
-  RETAILERS

POSITIVE IMPACTS

Thanks to these initiatives we can have a positive impact on the environment and the community, contributing to the achievement of one of the international sustainability goals: to gradually move away from the use of plastics, introducing innovative and sustainable materials.

Together, our commitments will enable us to achieve an overall saving **in terms of greenhouse gas emissions** (CO₂ eq) of **2,500 tonnes of CO₂ eq in the 2022-2026 period**. The final figure for 2023 is **1,077 tonnes of CO₂ eq.**, for a grand total of **2,122 tonnes of CO₂ eq** in the 2022-2026 period, in addition to **3,248 tonnes of CO₂ eq** in the 2018-2022 period.

SDGs WHICH WE DRAW INSPIRATION FROM

- 

Ensure sustainable consumption and production patterns. Granarolo aims to promote innovative and more responsible production and consumption systems, reducing the impact on the environment and raising community awareness of the benefits of the circular economy.
- 

Promote actions at all levels, to combat climate change. Granarolo has taken actions that, by reducing and/or replacing packaging materials, have a positive impact on reducing greenhouse gas emissions and contribute to combating climate change.

Project 3

An anti-waste plan

We want our Italian milk to be increasingly sustainable, with a **low environmental impact and to play a leading role in a healthy and nutritious diet**. To ensure this, we intend to reduce food waste to a minimum, through **an anti-waste plan on milk and dairy products** that also directly involves all consumers, through education on sensible and sustainable consumption.



Milk and dairy products are a major contributor to food waste. They can account for 4 to 8% of the category's sales. At present, in the best case scenario, the product withdrawn from points of sale, while respecting the cold chain, and although being intact, can be recovered as a by-product for use in animal feed.

A **longer shelf life of milk and dairy products ensures a reduction in food waste**, which is made possible by a better quality of milk at source and along the cold chain. Granarolo has initiated a progressive *shelf life* extension in 2020 starting with mozzarella. **In 2022, a 10-day shelf life fridge milk was introduced, which significantly reduces market returns and helps reduce household waste while maintaining quality.** In 2 years, **the average return went from 4% to 2.5%; in 2023 alone it was 6,167 tonnes less than CO₂ equivalent.**

Consumers can also do their bit by storing milk and dairy products in the refrigerator once they have been portioned, placing them in the suitable refrigerator compartments, always checking the temperature of the refrigerator, never leaving the door wide open, using products that are closest to their expiry date and recycling milk bottles correctly, which should be squashed along the length of the bottle and not from the top down.

OUR COMMITMENT

The anti-waste strategy is characterised by the synergy of several elements:

- **extension in product shelf life**
- **campaign for more sustainable management of products in the home**
- **campaign on new uses for expiring products**
- **campaign for proper disposal**

2023 ACTIONS

- A further 10% reduction in platform and market returns
- “Milk” innovation focused on medium and long *shelf life* products
- Extension of *shelf life* of dairy products sold in Italy and abroad
- 1917 q (18.5% of total) of short-dated products sold in Granarolo factory shops
- Too good to go campaign on 98 million packs to raise consumer awareness of the possibility of consuming the product beyond its expiry date for products with a minimum shelf life
<https://toogoodtogo.it/it/campaign/commitment>
- Strengthening of the solidarity hub for the Metropolitan City of Bologna with a structural donation to the Social Fund for the community called *Dare per Fare*, which led to 198,000 meals/year donated to the most vulnerable people
- 16,518 tonnes less of CO₂ equivalent resulting from the decrease in platform and market returns between March 2022 and March 2023

2024 ACTIONS

- Extension of shelf life of other fresh or ESL products
- Returns Project: a further 10% reduction in platform and market returns

INSTITUTIONS INVOLVED



POSITIVE IMPACTS

Trying to extend the *shelf life* benefits the whole life cycle of the product, reducing food waste and enhancing all the previous processing steps that brought the product into the refrigerators of consumers.

A longer residual life than at present allows families who consume Granarolo products on a daily basis to shop efficiently, with only one visit to the supermarket per week, and to benefit from the qualities of the product for longer, while minimising waste by disposing of the material correctly.

SDGs WHICH WE DRAW INSPIRATION FROM



Ensure sustainable consumption and production patterns.
Granarolo is committed to reducing food waste, with circular resource management, making each stage of our value chain efficient whilst raising consumer awareness.



Strengthen the means of implementation and renew the global partnership for sustainable development.
To successfully achieve the goals set for 2030, Granarolo has initiated inclusive partnerships that create synergies to achieve integrated sustainability in the community.

DUAL RELEVANCE ANALYSIS

The materiality analysis is the process by which the relevant ESG issues ("material") underlying sustainability reporting are identified. With the entry into force of the Corporate Sustainability Reporting Directive (CSRD)² and the related Standards for Reporting (ESRS Standards prepared by EFRAG)³, this process has evolved, requiring companies to assess sustainability issues according to the so-called "dual relevance": on the one hand, companies must identify the positive and negative impacts, current and potential, that they can generate towards the environment and society, including possible repercussions on human rights (so-called "impact materiality"); on the other hand, they must identify the risks and opportunities for their organisation deriving from sustainability issues, considering the financial effects that can be determined (so-called "financial materiality").

The Granlatte-Granarolo Group, anticipating the timing of the new obligations deriving from the CSRD (applicable to the Group from FY2025), carried out in the first months of 2024 a first exercise of "dual relevance" as a start to the progressive fulfilment of regulatory requirements.

The activities developed for the determination of dual relevance are described separately below. The process was carried out at every stage under the supervision of Granarolo's Communication, External Relations and Sustainability Office, which was responsible for verifying the consistency of the analyses and the results that emerged.

Impact materiality

The impact materiality analysis conducted by the Group consisted of several work phases:

- identification of possible impacts, positive and negative,
- listening to company Functions and stakeholders in order to assess the identified impacts,
- determination of sustainability issues from the point of view of the materiality of the impact.

IDENTIFICATION OF POSSIBLE IMPACTS TO BE ASSESSED

In order to identify the possible impacts, positive and negative, to be evaluated, the Group, in line with the indications of the CSRD and the EFRAG Standards, took as reference the list of "sustainability issues" covered by the thematic ESRs (as indicated by the standard "ESRs 1 - General requirements"). This made it possible to determine an "impact tree", consistent with the structure in terms of themes, sub-themes and sub-sub-themes developed by EFRAG within the framework of the new ESRs standards.

LISTENING TO CORPORATE FUNCTIONS AND STAKEHOLDERS

The impacts thus defined, verified and validated by the Communication, External Relations and Sustainability and Risk Management Functions, were submitted to the evaluation of management and a panel of stakeholders. In particular, the assessment of "impact materiality" was developed through:

- interviews with **12 Granarolo managers**, to whom a subset of impacts consistent with role and responsibility was submitted for evaluation. The assessment was expressed through the support of a special tool and using the parameters indicated by the ESRs, i.e. probability and severity (given by: magnitude, scope and irremediability, the latter only for negative impacts). Links with possible human rights violations were also assessed, and appropriate corrections were applied, in line with the requirements of the Standard;
- qualitative interviews with the **Chair** and **General Manager of Granlatte** in order to assess the main impacts generated by the Cooperative and the supply chain in relation to the issues identified by EFRAG;
- focus groups directed at **17 Granlatte farmer shareholders and 14 Granarolo employees**, who were asked to evaluate the main impacts in line with their role in the Group. The evaluation was expressed using the parameters of probability and impact effect (in line with the indications of the Implementation Guidance on Double Materiality⁴ with respect to stakeholder engagement),
- guided interviews with **5 suppliers and 2 customers** (representative of large-scale retail and Ho.Re.Ca.) who were subjected to some impacts consistent with their role and who expressed the assessment using probability and effect.

IDENTIFICATION OF IMPACT-RELEVANT ESG ISSUES

Following the engagement activity, the results were aggregated in order to identify the relevance of sustainability issues from an impact point of view. The contributions of the different stakeholders were aggregated according to a weighted average; the weight of each impact was then elaborated by means of a weighted average between the evaluations of the management and those of the stakeholders. This led to determining the relevant issues before the "impact materiality" or the issues containing the impacts, positive and negative, actual and potential, which exceeded the relevance threshold of 2.5 on a scale from 1 to 5.

Financial materiality

The Group also conducted the evaluation of "financial materiality" to identify ESG risks and opportunities. To this end, the activities carried out have actively involved Granarolo's Governance, Risk Management and Compliance Office.

Also in this case, we proceeded in successive steps; in particular:

- identification of ERM risks in line with ESRs sustainability issues,
- listening to the financial community,
- identification and evaluation of opportunities for the Group,
- determination of sustainability issues from the point of view of financial materiality.

IDENTIFICATION OF RISKS FROM THE ERM ACCORDING TO ESRS THEMES

For the first financial materiality exercise, the risks of the Enterprise Risk Management (ERM) system related to ESG events were related to the themes, sub-themes and sub-sub-themes defined by EFRAG in the ESRs Standards and partly reformulated. Subsequently, the valuation of a materiality score of each risk was introduced, according to the assessments already carried out in the ERM field for the Granarolo risk assessment process (according to the parameters of probability of occurrence and potential magnitude).

LISTENING TO THE FINANCIAL COMMUNITY

With the aim of including the expectations of the financial community, a **meeting was held with 3 leading credit institutions** in order to assess the main ESG risks for the Group; the assessments were expressed with reference to the probability of the risks occurring and the potential magnitude of the possible related financial effects.

IDENTIFICATION AND EVALUATION OF OPPORTUNITIES

Based on the evidence of the new Business Plan, an "opportunity assessment" process was carried out with the support of the Communication, External Relations and Sustainability Department, which identified the opportunities attributable to sustainability issues, based on an analysis of the targets and the related initiatives planned by the Group.

AGGREGATION OF RISK AND OPPORTUNITY ASSESSMENTS

In order to obtain a financial relevance score associated with the themes, the assessments on risks and opportunities were aggregated: with reference to the mapping of ESG risks, the most significant risk for each theme was selected, on a prudential basis, also weighted with the outcome of the evaluation expressed by the financial community; with reference to the opportunities identified, the average of the opportunities underlying each theme was calculated.

The financial materiality score attributed to the themes represents the summary of the various analysis contributions.

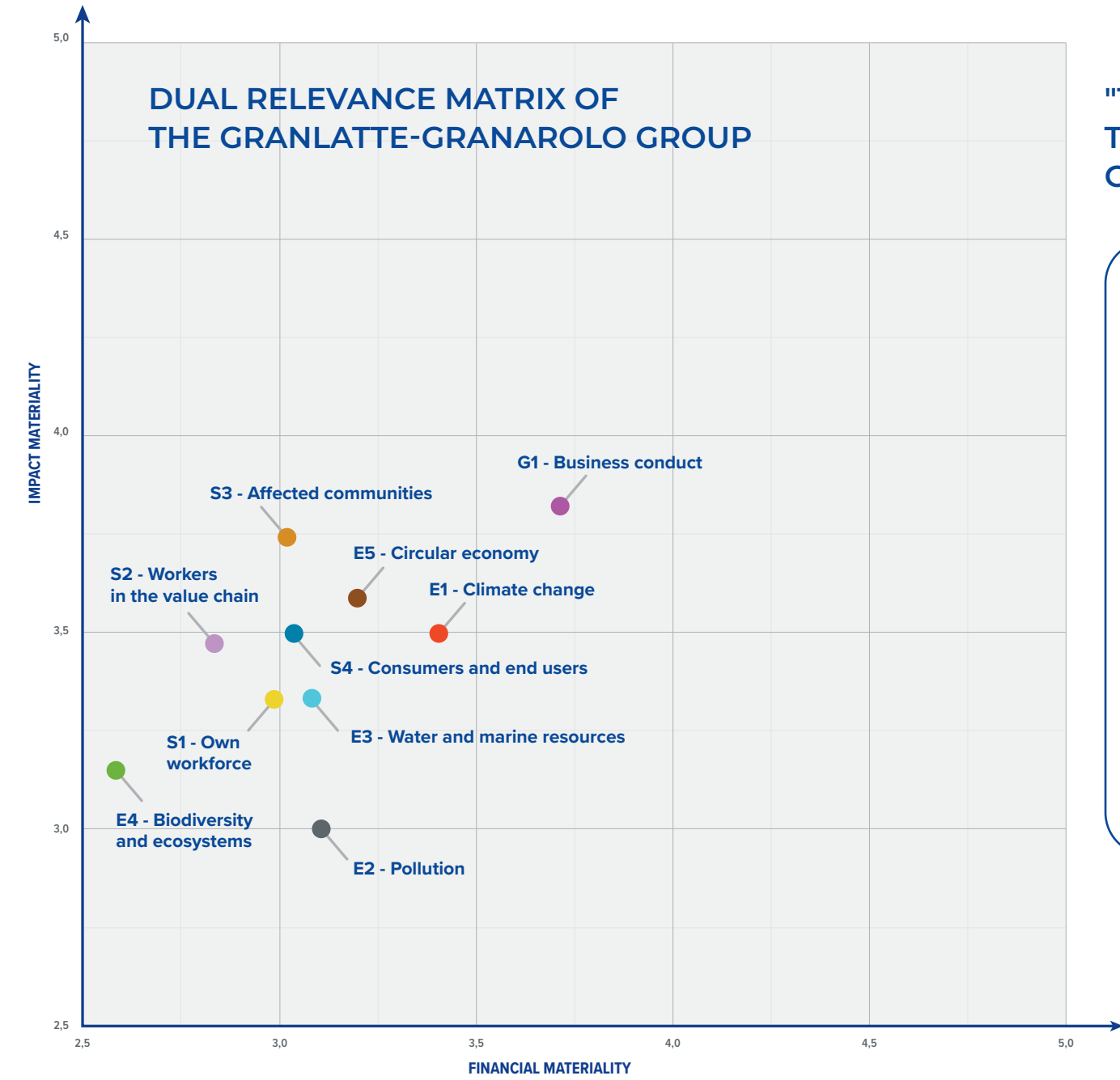
"Dual relevance"

The results of the impact and financial materiality determined the ranking of the topics relevant to the Group. The outcome of "dual relevance" was finally discussed and validated in a moment of discussion with the President, the General Manager and the Director of Human Resources, Organisation and IT of Granarolo.

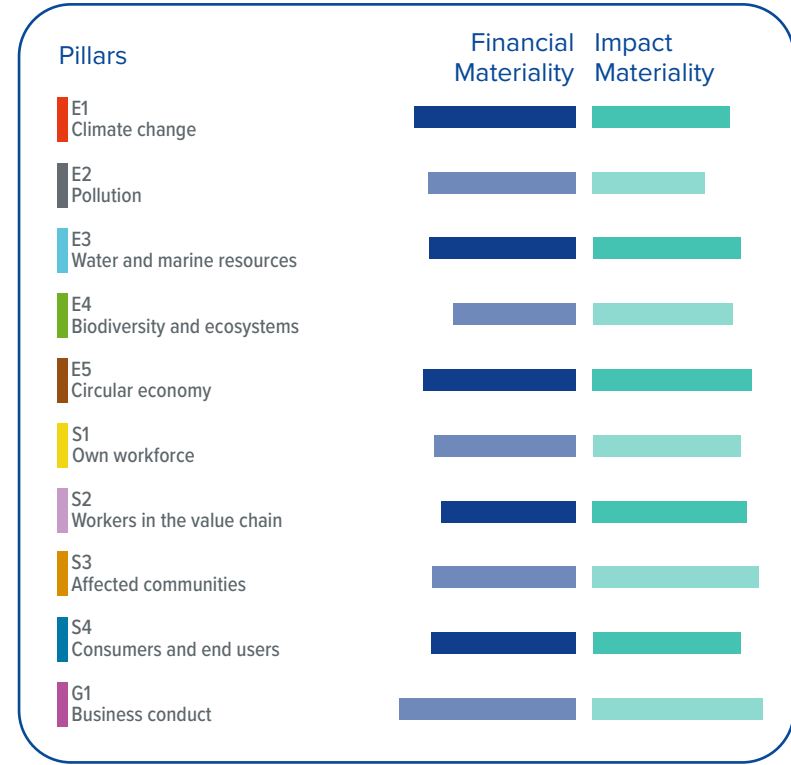
Below are the results of the dual relevance process, according to two complementary views: the dual relevance matrix and the "tornado" graph.

8 ² Directive (EU) 2022/2464 (CSRD) ³ Sustainability Reporting Principles (ESRs)

⁴ Source: EFRAG – Implementation guidance on double materiality



"TORNADO" REPRESENTATION OF THE DUAL RELEVANCE OF THE GRANLATTE-GRANAROLO GROUP



THEME	RELEVANT IMPACTS	RELEVANT RISKS AND OPPORTUNITIES
Climate change	Influence on climate change deriving from the use of energy from sources not yet renewable (-)	Risks: Risk of accidental events (e.g. fire), natural disasters (e.g. earthquake) and climate change (e.g. drought), resulting in material damage to assets (direct) and loss or damage from business interruption (indirect). Opportunities: Reduction of energy costs at the farm deriving from the production of renewable energy from biomethane plants and photovoltaic plants.
Pollution	Release of contaminants and/or toxins into water beyond legal limits (-)	Risks: Risk of non-compliance with environmental regulations resulting in significant sanctions or reputational damage.
Water and marine resources	Water withdrawal for the purposes of the production process with an impact on the water footprint (-)	Risks: Risk of non-compliance with environmental regulations resulting in significant sanctions or reputational damage. Opportunities: Reduction of costs associated with the use of water resources in plants thanks to innovations in production processes that make their management more efficient.
Biodiversity and ecosystems	Effects on ecosystem services deriving from the agronomic choices of the supply chain (farmer shareholders and ingredient suppliers) (-)	Risks: Risk of shortage of the main raw material (milk) or of specific categories of milk (e.g. organic milk, etc.), also due to climate change, leading to interruptions or delays in production.
Circular economy	Contribution to the transition towards a circular model (+)	Risks: Risk of non-compliance with environmental regulations resulting in significant sanctions or reputational damage. Opportunities: Improved brand reputation thanks to initiatives to reduce plastics and increase the use of recycled plastic.
Own labour force	Infringement of employee privacy due to incidents of data loss/theft (-) Employment stability (and consequent economic security) for workers (+)	Risks: Risk of accidents in the workplace as a result of inadequate definition/communication of safety plans or their inconsistent application resulting in significant financial loss or reputational damage. Opportunities: Retention elements useful to balance personal and professional life and attraction for the new generations (e.g. weekly smart working day).
Workers in the value chain	Infringement of the privacy of workers in the value chain due to incidents of data loss/theft (-)	Risks: Risk of being attacked/discredited by public opinion, resulting in significant financial loss or damage to reputation/brand Opportunities: Improvement of access to credit also thanks to the introduction of a supplier monitoring platform functional to guarantee adequate working conditions (including environmental monitoring).
Affected communities	Dissemination of a culture of healthy and correct nutrition and promotion of initiatives aimed at better nutrition, including in developing countries (+)	Risks: Risk of being attacked/discredited by public opinion, resulting in significant financial loss or damage to reputation/brand
Consumers and end users	Guarantee of the truthfulness and correctness of the information provided to the consumer (+)	Risks: Risk of being attacked/discredited by public opinion, resulting in significant financial loss or damage to reputation/brand Opportunities: Improvement of economic performance thanks to functional product innovation to reach new categories of consumers
Business conduct	Dissemination of values of fairness and ethics among employees and towards the market (+)	Risks: Risk of corporate officers agreeing with a public official to perform an act contrary to his/her office in return for money or other consideration, resulting in sanctions and/or significant financial loss or reputational damage. Opportunities: Improvement of brand reputation due to high certification standards also in farms



GRANAROLO GROUP OVERVIEW



76

countries all over the world
in which we are present



40

million consumers
20,000 families who get
their income from the work
of all of us



2,490

employees
(1,537 in 2009)



9

plants abroad
(2 in France, 1 in UK, 1 in
Germany, 1 in USA, 3 in
Brazil, 1 in New Zealand)



15

plants
in 9 Italian regions



925,000

tonnes of milk processed every
year, of which approx. 850,000 in
the supply chain (+6.3% vs 2019)



580

vehicles distributing
products to 50,000 Italian
points of sale



99

trucks collecting milk
from the farms



1,617

Millions of € turnover in
2023



503

farmers in
11 Italian regions

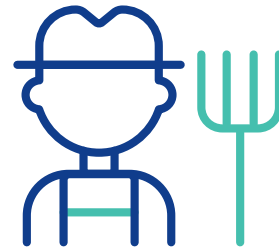


GRANAROLO'S CONTRIBUTION TO THE SDGs

SDGS & TOPICS			OUR VALUE CHAIN						
			1 AGRICULTURE AND FARMING	2 PROCUREMENT	3 TRANSFORMATION AND PACKAGING	4 INNOVATION AND MARKETING	5 DISTRIBUTION	6 CONSUMERS AND COMMUNITY	7 PRODUCT "END OF LIFE CYCLE" MANAGEMENT
 	Guaranteeing economic sustainability by strengthening competitiveness	Solidity of assets and generation of value	●	●	●	●	●	●	●
		Relation with the supply chain	●	●					
 	Guaranteeing the integrity of company behaviour	Correct conduct and compliance	●	●	●	●	●	●	●
  	Promoting a sustainable supply chain model	Cooperative supply chain	●		●	●		●	
		Animal welfare	●						
	Protecting and developing employees	Employee growth and engagement	●		●				
		Occupational health, safety and well-being			●		●		
	Guaranteeing food safety	Food safety	●	●	●				
 	Promoting health and well-being for all	Consumer-centred				●		●	
		Well-being and nutrition				●			●
   	Improving environmental sustainability from the farm to disposal	Managing the impact along the value chain	●	●	●	●	●	●	●
		Fighting food wastage		●	●	●	●	●	●
    	Being active citizens at local and global level	Relationship with communities	●	●	●	●		●	●



OBJECTIVES INVOLVING THE WHOLE CHAIN



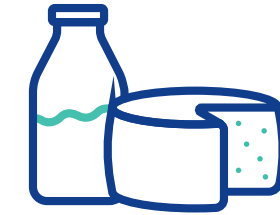
1 | AGRICULTURE AND FARMING

503 dairy farmers in 11 Italian regions and about 81,000 heads of livestock.



2 | PROCUREMENT Milk collection + Ingredient supply

925,000 tonnes of milk per year
Granlatte's 99 tankers cover 7.1 million km every year; 95% of them are Euro 5 and Euro 6 vehicles.



3 | TRANSFORMATION AND PACKAGING

Granarolo's 2490 employees promote sustainability at all levels with a constant focus on innovation throughout the product life cycle.



4 | INNOVATION AND MARKETING

Granarolo is committed to promoting healthy nutrition, including through products with reduced salt, sugar and fat content. It also strives to meet consumers' express needs through functional products.
It aims to reduce food wastage.



5 | DISTRIBUTION

Granarolo is committed to optimising logistics with the aim of reducing waste and environmental impact.



6 | CONSUMERS AND COMMUNITY

Granarolo keeps its consumers informed and helps them make conscious purchases, focusing on products with reduced environmental impact. It supports communities, both near and far.



7 | PRODUCT END-OF-LIFE CYCLE MANAGEMENT

Granarolo is attentive to recyclability in its packaging choices, uses recycled materials, works in synergy with institutions and consortia with the same objectives and supports consumers in the disposal of packaging materials.
It aims to reduce food wastage.

COMPANY
PROFILE AND
CONDUCT



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
TRANSPARENCY OF COMPANY STRUCTURE AND GOVERNANCE SYSTEM	Refocusing on governance content following the entry of new investors with a view to achieving increased transparency	Restructuring of corporate bodies following the entry of new investors	Start of activities with the new Board of Statutory Auditors renewed in all its members
SHARED RISK ANALYSIS AND MONITORING SYSTEM	Reinforcement of risk measures given the current permacrisis	Expanding risk mapping	Adoption of an assurance map as a new management tool
PROTECTION OF LEGALITY AND PREVENTION OF CORRUPTION	231 Update and Training	Update on 231	

GUARANTEEING
ECONOMIC
SUSTAINABILITY BY
STRENGTHENING
COMPETITIVENESS



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
ACQUISITION OF ASSETS AND STRATEGIC PARTNERSHIPS	Launch of marketing of Parmigiano Reggiano produced in Castelfranco Emilia	Marketing of Parmigiano Reggiano di Castelfranco abroad	In October departure of the new dairy of Gioia del Colle with a focus on fresh Apulian cheeses
	Entry of the National Strategic Fund and ENPAIA	Start-up of activities in synergy with new members	Rental of the Latte Maremma business unit
	Turnover target of 50 million in the USA also by means of further acquisitions	United States + Canada: turnover of 50 million reached	United States + Canada: 60 million turnover target
INTERNATIONALISA-TION AND GREATER PENETRATION IN EXPANDING INTERNATIONAL MARKETS	Logistic focus to be maintained and reinforced in terms of increased efficiency	A path to increase saturation on primary and secondary transport has begun	Phase 2 of the saturation increase path on primary and secondary transport
	40% of turnover abroad	38% of turnover abroad	40% of turnover abroad
PROCESS AND PRODUCT INNOVATION (TRANSFORMATION SIDE)	Further consolidation of the dairy export value through a greater valorisation of the Made in Italy dairy products	Export share growth	China: new distribution platform
	Launch of Oh My Yomo! yoghurt with new flavours and Oh My Yomo! cheese cake	New launches have been made on the Yomo brand	Oh My Yomo! Range Extension
	Launch of the Granarolo High Protein range (mozzarella, stracchino, ricotta, UHT drinks)	Excellent performance of volumes and values for the High Protein line (milk, burrata, bars, spreads)	Range extension for the High Protein line (also focus on Granarolo Next with 0 added sugars and 0 lactose)
	Granarolo Kefir Protein Drink launch	Launch of stracchino Kefir	
BRAND AWARENESS AND REPUTATION MONITORING TO PROTECT QUALITY, MADE IN ITALY AND TYPICAL CHARACTERISTICS	Granarolo burrata launch	Burrata production in the Usmate Velate plant	Production of burrata and stracciatella in the new dairy at Gioia del Colle
	Unconventional brand vegan ravioli and nuggets launch	Unconventional brand Nuggets launch	Launch of 100% vegetable Fish Nuggets and Unconventional Falafel
	Commencement of the Innovation Center works	Work on the Innovation Center continues	Continuation of Innovation Center works
	Granarolo Benessere Accadi TV and digital campaign with several-times champion Gregorio Paltrinieri as testimonial	Granarolo Benessere TV and digital campaign with several-times champion Gregorio Paltrinieri as testimonial	Granarolo Benessere TV and digital campaign with several-times champion Gregorio Paltrinieri as testimonial
MONITORING OF SUPPLY CHAIN TO ENSURE COMPLIANCE WITH ESG PARAMETERS	TV and digital campaign to relaunch the Yomo brand	Yomo brand relaunch	New Oh My Yomo! campaign
	7 trade fairs in 2023 in Italy and abroad	Participation in the 7 fairs scheduled for 2023	12 trade fairs in 2024 in Italy and abroad
MONITORING OF SUPPLY CHAIN TO ENSURE COMPLIANCE WITH ESG PARAMETERS	Extension of the Questionnaire to main suppliers	Questionnaire as a quantity submitted to the Group's main suppliers	Supplier platform start-up for ESG KPIs

PROMOTING A SUSTAINABLE SUPPLY CHAIN MODEL



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
PROMOTING THE MILK PROVIDED BY COOPERATORS	Maintain and/or increase the % of supply chain milk	Increase the quantities of milk collected from the supply chain equal to 8,220,418 hl of milk given to Granarolo + 760,000 hl marketed to third parties	Maintain and/or increase the % of supply chain milk
	Constant support for the supply chain price consistent with economic developments	Average price paid by Granlatte €63/hl including VAT	Launch of the new GranFarm platform that will integrate quality, animal welfare, agronomic and livestock KPIs and environmental and social KPIs related to the new CSRD for all the farms in the supply chain
NEW ENTREPRENEURIAL SKILLS FOR THE SUPPLY CHAIN	Continuation of training on the rest of the supply chain and launch of the Granlatte Next Generation project	Start of the biennial Next Generation Granlatte training that will end in 2025 (over 70 young members)	Continuation of Next Generation Granlatte training
PROMOTION OF ANIMAL WELFARE	Registration of all members on the Classyfarm Ministry Platform for the monitoring and appropriate use of medicines in accordance with Charter of Veterinary Surgeons	Registration with Classyfarm for all members and confirmation of the Bonlatte voluntary system	Evaluation of new indicators in the Bonlatte checklist for continuous improvement

PROTECTING AND DEVELOPING EMPLOYEES



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
JOB PROTECTION	Continuation of the generational relay	Generational relay in offices and factories as a systematic approach	Continuation of the generational relay
	Internal people first: internal promotions for any open positions within the company	Internal People First has facilitated the internal careers of many colleagues with greater involvement of people	Internal people first: internal promotions for any open positions within the company
	Completion of the G-people tool within the Group	G-people implemented for Italy	Completion of the G-people tool for abroad
DEVELOPMENT OF HUMAN RESOURCES AND PROMOTING TALENT	Scuola dei Casari	Creation of Scuola dei Casari	Continuation of Scuola dei Casari
	Scuola dello yoghurt	Unrealised	Scuola dello yoghurt
	Next Generation Granlatte training	Next Generation Granlatte training started	Next Generation Granlatte continuation
	Training of internal and young staff to increase production skills and expertise	Training was carried out for young people to learn more about the production	Training of internal and young staff to increase production skills and expertise continues
OCCUPATIONAL HEALTH AND SAFETY	Sales Academy	Unrealised	Training course 12-18 months for Group talents with BBS
	Launch of further training synergies with schools and universities for growth-oriented training courses	Realised and consolidated the relationship with UniBO, PoliMI, BBS	Training enabling people involved in the projects of the industrial plan to work in functional cross teams
	Compiling of good conduct registers	500 cards reported on various plants to prevent incorrect conduct	Extension of the project for the year and closure of near miss accidents within 45 days from the opening date
WELFARE POLICIES AND CHANNELS ENCOURAGING EMPLOYEE ENGAGEMENT	ISO 45001 and 14001 certification for the Casalino plant	ISO 45001 and 14001 certification obtained for the Casalino plant	ISO 45001 certification for the Venchiaredo plant and ISO 45001 and 14001 for the Sestu site
	Extension of the safety indicator analysis to foreign plants	Collection of indicators for foreign countries not completed	
	Introduction of the new corporate welfare platform	Start-up of the new corporate welfare platform in Italy	Implementation of the actions related to the victory of the #Riparto call to facilitate working mothers of children aged 0-3
	Inclusion in the car policy of objectives for the progressive conversion of the car fleet into hybrid models	Car policy management in terms of conversion of the car fleet	Continuation of conversion of the car fleet

GUARANTEEING
FOOD
SAFETY



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
TRACEABILITY OF RAW MATERIALS AND FINISHED PRODUCTS	Continuation of the Total Quality Returns project	-3,419 tons returned equivalent to -6,167 tonnes of CO ₂ eq (2023 vs 2022)	Continuation of the Total Quality Returns project
	Development of a higher performing platform for the management of health alerts	The platform for health alerts is being completed	Reporting on health alerts
CONTROLS ON RAW MATERIALS	Continuation of strict supervisory plans and controls on raw materials	Supervisory plan: 243,683 checks (members and non-members) + 484,406 other analyses performed	Continuation of strict supervisory plans and controls on raw materials

PROMOTING
HEALTH AND
WELL-BEING
FOR ALL



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
PRODUCTS WITH NUTRITIONAL CHARACTERISTICS TARGETED AT SPECIFIC SEGMENTS	Relaunch of sugar-free plant-based drinks	The relaunch of plant-based drinks has been done on the GDO and HORECA CHANNELS	The entire High Protein range has been enhanced Yomo Next launch with specific formula for more complete feeding
CORRECT QUALITY/ PRICE RATIO	Confirmation of promotional activities albeit with higher prices given the increase in production costs		
	Commitment to promoting the use of VAT on institutions in order to partially protect the most vulnerable consumers		
LISTENING TO CONSUMERS	Further promotion on the LinkedIn channel		Further promotion on the LinkedIn channel
	Investments on Instagram and Facebook at the start of new campaigns (Gregorio Paltrinieri)	LinkedIn: 120,000 followers Facebook: 336,000 Instagram followers: 38,000 followers	

IMPROVING ENVIRONMENTAL SUSTAINABILITY FROM THE FARM TO DISPOSAL



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
USE OF FARMING AND ZOOTECHNICAL TECHNIQUES WITH LOW ENVIRONMENTAL IMPACT	Extension of sustainability indicators across the supply chain with the objective of achieving continuous monitoring as of June 2024	Inclusion of indicators in the X-Farm platform for continuous monitoring	Initiation of monitoring on the first 50 pilot farms
REDUCTION OF THE ENVIRONMENTAL IMPACT OF THE TRANSFORMATION PROCESS	Continuation of the High Sustainability Group activities (-7,000 t CO ₂ eq/2023)	Achievement of the Group High Sustainability target -7,800 tonnes of CO ₂ eq	Group High Sustainability target -8,500 tonnes of CO ₂ eq/2024
	Investments in miniesl milk production facilities and packaging machines	The revamping of the miniesl milk packaging lines for Bologna and Castrovillari has been completed	
	Investments in order to start a burrata production line with reduced water consumption	Production of burrata with reduced water consumption (Usmate Velate)	
	Start-up of a new production line for protein puddings and disposal of lines with high energy consumption	Completed the line of puddings with optimisation of energy consumption (Pasturago)	
	Replacement of obsolete boilers -1,450 tonnes of CO ₂ eq per year	Completion of the installation of 2 energy-efficient boilers eliminating diathermic oil	
	Optimisation of cogeneration thermal energy usage and replacement of outdated compressors (-1,100 tonnes of CO ₂ eq/year	By July 24 thermal energy from cogeneration in Pasturago (pasteuriser P1 and P2) and replacement of obsolete compressors with a reduction of 1,100 tonnes of CO ₂ eq/year	
	Replacement of obsolete power plants with new generation plants in Usmate Velate and Pasturago plants -3,725 t CO ₂ eq/year	Replacement of obsolete thermal power generation plants with new generation plants in the Usmate Velate and Pasturago plants for a reduction of 1,750 tonnes of CO ₂ eq/year	New air-condensed chillers in Pasturago and Usmate -900 tonnes of CO ₂ eq/year
	Installation of photovoltaic systems in the plants of Sestu, Casalino, Coriano -950 tonnes of CO ₂ eq/year (end in 2024)	Continuation of the installation of photovoltaic systems in the plants of Sestu, Casalino, Coriano for a saving of 950 tonnes of CO ₂ eq/ year	
	Extension of the environmental indicator analysis to foreign plants	Partial view of foreign plants	

SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
REDUCING THE ENVIRONMENTAL IMPACT OF PACKAGING	Confirmation of the 2026 Target	1,077 tonnes of CO ₂ eq less from packaging design	Confirmation of the 2026 Target: -2,500 tonnes of CO ₂ eq for the period 2022-2026
REDUCING THE ENVIRONMENTAL IMPACT OF LOGISTICS	Reduction of 750 tonnes of CO ₂ eq.	Reduction of 300 tonnes of CO ₂ eq.	Reduction of CO ₂ eq. of logistics (use of electric trucks)
FIGHTING FOOD WASTAGE	Launch and support of miniesl milk	Miniesl successfully started by halving the volume of fresh milk returns	Further development of miniesl
	Less Returns Project -40% in vol. vs. 2021	-3,419 tons returned equivalent to -6,167 tonnes of CO ₂ eq (2023 vs 2022)	Continuation of the Less Returns project
	Consumer awareness-raising activity concerning MSP	91 million packages for the “To Good To Go” awareness campaign	Continuation of the campaign on TMC
	1,800 q of short-dated products sold in factory shops	1,917 q of short-dated products sold in factory shops	More than 1,800 q of short-dated products sold in factory shops
	Opening of a new anti-waste shop	Postponement of the new opening	Anti-waste shop in Ferrara

BEING ACTIVE
CITIZENS AT
A LOCAL
AND GLOBAL
LEVEL



SCOPES	2023 OBJECTIVES	PROGRESS	NEW 2024 OBJECTIVES
APPRECIATION OF THE GROUP'S TERRITORIAL ROOTS	Launch of the “environmental sentinel bees” project with Conapi and CCPB certification	Launch of the “environmental sentinel bees” project and placement of 350 hives in different Italian regions, for a total of 17,450,000 bees	Continuation of the “environmental sentinel bees” project with Conapi and CCPB certification for a total of over 370 hives and 18,550,000 bees
	Continuation of activities with hub of the Metropolitan City of Bologna	198,000 meals/year donated to the most vulnerable people	Continuation of activities with hub of the Metropolitan City of Bologna
	Signing of the "Patto per il Mare" with a commitment to ensure promotion throughout Italy	Signing by the Group of the Pact with the Sea promoted by the University of Gastronomic Sciences of Pollenzo	Participation also in 2024 in Dominate the Water to promote respect for the Sea
	Continuation of the Allattami project	39,667 feeding bottles collected, 4,760 litres of milk collected, 349 donor mothers, 38,151 feeding bottles used by healthcare facilities in the Emilia region	Continuation of the Allattami project
COMMITMENT TO FOOD INNOVATION AT A NATIONAL AND INTERNATIONAL LEVEL	Reopening and face-to-face visits to schools	Allattami project exhibition at Maggiore Hospital	Extension of the Allattami exhibition to other Italian cities
		Reopening of plant facilities to schools: 1,629 attendees	Growth in visits to plants
	Active participation at the Start-up Day in Bologna	Start-up Day: award-winning Amino	Active participation at the Start-up Day in Bologna and awarding of a start-up
	Participation in the ER regional IN-ER network to promote start-ups and investments	Participation in the ER regional IN-ER network through targeted events	Participation in the ER regional IN-ER network to promote start-ups and investments
			Focus on Water Innovation (water saving and detection of foreign bodies and microplastics) in synergy with Innovation Hub of Piacenza
			Active participation at the Unicredit Start Lab

PREVIEW

1ST MAY 2024 -
WORKERS' DAY.

IT WAS a great honour to be able to host the President of the Republic Sergio Mattarella and the Minister of Labour and Social Policies Marina Elvira Calderone at the Granarolo Plant in Castrovillari, a milk production hub in Southern Italy.

The Granarolo Group supply chain was present: farmer shareholders Granlatte and Assolac, as well as production and distribution workers.

With us were all the top institutions and companies of the agri-food system of the district of Cosenza.

We could not close the Sustainability Report without mentioning it.





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